

**PRAGATI ENGINEERING COLLEGE: SURAMPALEM
(AUTONOMOUS)**

II B.Tech II Semester Regular Examinations, April - 2025

MANAGERIAL ECONOMICS AND FINANCIAL ANALYSIS

(Common to CE,EEE,ECE, CSE, CSE(CS))

Time: 3 hours

Max. Marks: 70

Note:

- i. Question No. 1 shall contain 10 compulsory short answer questions (2 questions from each unit) for a total of 20 marks such that each question carries 2 marks.
- ii. In each of the questions from 2 to the last question, there shall be either/or type questions of 10 marks each.

Q. No.		Questions	BTL	CO	Marks
1.	a)	Define Managerial economics.	K1	CO1	2M
	b)	What is price elasticity of demand?	K1	CO1	2M
	c)	What is Production function?	K1	CO2	2M
	d)	What is Marginal Cost?	K1	CO2	2M
	e)	Define Oligopoly.	K1	CO3	2M
	f)	What is Kinked demand curve?	K1	CO3	2M
	g)	What is Working Capital Management?	K1	CO4	2M
	h)	What is profitability index?	K1	CO4	2M
	i)	What is Trial balance?	K1	CO5	2M
	j)	What are the types of accounts?	K1	CO5	2M
UNIT – I					
2.	a)	What is meant by 'Elasticity of Demand'? How do you measure it?	K2	CO1	5M
	b)	Define Demand. explain the factors that influence the demand of a product.	K2	CO1	5M
OR					
3.	a)	Explain managerial economics relation with other disciplines.	K2	CO1	5M
	b)	What is demand forecasting? Explain any 2 demand forecasting techniques.	K2	CO1	5M
UNIT – II					
4.	a)	What are Iso-quants? Explain the chief characteristics of Iso-quants.	K2	CO2	5M
	b)	Discuss the economies of scale that accrue to a firm?	K2	CO2	5M
OR					
5.	a)	Explain in detail Cobb Douglas production function.	K2	CO2	5M
	b)	Describe the Break-even point with the help of diagram and its uses in business decision-making.	K2	CO2	5M
UNIT – III					
6.	a)	Differentiate between perfect and imperfect competition with suitable examples.	K2	CO3	5M

	b)	Explain the features of Joint stock Company.	K2	CO3	5M												
OR																	
7.	a)	Explain the various forms of business organizations and their relative advantages and disadvantages.	K2	CO3	5M												
	b)	Explain the various methods of pricing used by firms in different market structures.	K2	CO3	5M												
UNIT – IV																	
8.	a)	A project needs an investment of Rs.138500. the cost of capital is 12%. The net cash inflows are as follows: <table border="1"> <tr> <th>Year</th><th>1</th><th>2</th><th>3</th><th>4</th><th>5</th></tr> <tr> <td>CFAT(Rs.)</td><td>30000</td><td>40000</td><td>60000</td><td>30000</td><td>20000</td></tr> </table> Calculate IRR and suggest whether project should be accepted or not.	Year	1	2	3	4	5	CFAT(Rs.)	30000	40000	60000	30000	20000	K3	CO4	5M
Year	1	2	3	4	5												
CFAT(Rs.)	30000	40000	60000	30000	20000												
	b)	What do you mean by capital and what are the major sources of capital?	K2	CO4	5M												
OR																	
9.	a)	Explain in brief various capital budgeting techniques.	K2	CO4	5M												
	b)	What is working capital? Briefly explain factors that determine the working capital needs of the firm.	K2	CO4	5M												
UNIT – V																	
10.	a)	Journalise the following transactions - Commenced business with Rs.25000 - cash deposited into bank Rs.10000 - Purchased goods from Mahesh Rs.15000 - Sold goods to Hari Rs.20000 - cash paid to Mahesh in full settlement Rs.14000 - Hari settled his account in full with Rs.19500	K3	CO5	5M												
	b)	Explain briefly about Liquidity ratios.	K2	CO5	5M												
OR																	
11.	a)	Explain in brief double entry principles.	K2	CO5	5M												
	b)	a) A firm sold goods worth Rs.5 lakhs and its gross profit is 20% of its sales. The opening stock is Rs.16000 and closing stock is Rs.14000. Compute inventory turnover ratio. b) A firm sales during the year was Rs.4 lakhs of which 60% were on credit basis. Opening and closing balance of debtors 25000 and 15000 respectively. Calculate Debtors turnover ratio.	K3	CO5	5M												